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Case No: 25NNCV05220

Hearing

Date: 09/03/2026 – 8:30 a.m.

Trial

Date: 03/29/2027

Case

Name: MARWA KATBI, an individual; v. LEECH TISHMAN NELSON HARDIMAN, INC., formerly LEECH TISHMAN FUSCALDO & LAMPL, INC., a California Professional Corporation; NADERI LAW GROUP, INC., a California Professional Corporation; and DOES 1 through 10, inclusive

[TENTATIVE RULING –
MJOP]

RELIEF REQUESTED

Defendant, Naderi Law Group, Inc., moves for judgment on the pleadings pursuant to CCP § 438.

Defendant moves on the grounds that Plaintiff's FAC fails to state any viable cause of action as a matter of law for the following independent reasons: (1) the FAC is a sham pleading whose new allegations directly contradict Plaintiff's original Complaint and must be disregarded and (2) the alleged payment arrangement is void and unenforceable under California Rule of Professional Conduct 1.5.1 and a defect that no amendment can cure.

PARTIES/PAPERS

Moving Party: Defendant, Naderi Law Group, Inc. (Defendant)

Responding Party: Plaintiff, Marwa Katbi

Moving Papers: Notice/Motion; Request for Judicial Notice; Proposed Order

Opposition Papers: Opposition

Reply Papers: Reply

BACKGROUND

Plaintiff, Marwa Katbi (Katbi), filed the original complaint on 7/28/2025 against Defendants – (1) Leech Tishman Nelson Hardiman, Inc., formerly Leech Tishman Fuscaldo & Lampl, Inc., (hereinafter Leech Tishman) and (2) Naderi Law Group, Inc. (hereinafter Naderi).

Plaintiff's original complaint alleged four causes of action – (1) Breach of Contract, (2) Promissory Estoppel, (3) Conversion, and (4) Money Had and Received.

In short, Plaintiff (Katbi), a lawyer, alleged that she referred her father [Nizar Katbi (Nizar) who is a non-party in the instant action] as a plaintiff in a lawsuit entitled FTR International Inc. et al. vs. Board of Trustees of the LACCD [Case No. BS136137 or FTR Case] to Defendants' law firms (Leech Tishman and Naderi; i.e., Leech Tishman and Naderi were plaintiff's counsel for Nazir in the FTR case), and Defendants failed to pay the agreed upon referral fee of \$300,000 to Plaintiff. (See Compl., ¶¶ 1, 8, 12, 14, 16, 18, & 23.)

On 10/23/2025, this Court sustained Defendant's (Naderi) demurrer to the original complaint with leave to amend granted.

On 11/12/2025, Plaintiff filed a First Amended Complaint (FAC) against Defendants alleging four causes of action – (1) Breach of Contract, (2) Promissory Estoppel, (3) Conversion, and (4) Money Had and Received.

Defendant (Naderi) now moves for judgment on the pleadings with respect to the FAC.

PROCEDURAL

Meet and Confer

Before filing a motion for judgment on the pleadings pursuant to this chapter, the moving party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining if an agreement can be reached that resolves the claims to be raised in the motion for judgment on the pleadings. (Code Civ. Proc. (CCP), § 439(a).)

“A determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion for judgment on the pleadings.” (CCP, § 439(a)(4).)

Here,
Defendant’s counsel alleges that a meet and confer occurred. (Naderi Decl., ¶¶ 3-5.)

LEGAL STANDARD – MOTION FOR JUDGMENT ON THE PLEADINGS

If moving party is a defendant, a motion for judgment on the pleadings may be made if either of the following conditions exist: (1) The court has no jurisdiction of the subject of the cause of action alleged in the complaint, or (2) The complaint does not state facts sufficient to constitute a cause of action against the defendant. (CCP, § 438(c)(1)(B).)

“The grounds for motion provided for in this section shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. Where the motion is based on a matter of which the court may take judicial notice pursuant to Section 452 or 453 of the Evidence Code, the matter shall be specified in the notice of motion, or in the supporting points and authorities, except as the

court may otherwise permit.” (CCP, § 438(d).)

“A motion for judgment on the pleadings

may be made at any time either prior to the trial or at the trial itself.

[Citation.]” (Ion Equipment Corp. v. Nelson (1980) 110

Cal.App.3d 868, 877.) “A motion for judgment on the pleadings performs

the same function as a general demurrer, and hence attacks only defects

disclosed on the face of the pleadings or by matters that can be judicially

noticed. Presentation of extrinsic evidence is therefore not proper on a motion

for judgment on the pleadings.” (Cloud v. Northrop Grumman Corp. (1998)

67 Cal.App.4th 995, 999 (Citations Omitted).) The standard for ruling on a

motion for judgment on the pleadings is essentially the same as that applicable

to a general demurrer, that is, under the state of the pleadings, together with

matters that may be judicially noticed, it appears that a party is entitled to

judgment as a matter of law. (Bezirdjian v. O'Reilly (2010)

183 Cal.App.4th 316, 321-322 (citing Schabarum v. California

Legislature (1998) 60 Cal.App.4th 1205, 1216).)

TENTATIVE RULING

Both parties’ papers are unhelpful to

the Court, and at times, the parties’ papers are incomprehensible. For the

reasons explained below, the Court will hear argument.

Defendant’s Grounds for its MJOP

Defendant’s motion is made:

[O]n the grounds that Plaintiff’s First Amended Complaint

(“FAC”) fails to state any viable cause of action as a matter of law for the

following independent reasons: (1) the FAC is a sham pleading whose new

allegations directly contradict Plaintiff’s original Complaint and must be

disregarded and (2) the alleged payment arrangement is void and unenforceable

under California Rule of Professional Conduct 1.5.1 and a defect that no

amendment can cure.

(Def. Mot., p. 3.)

Here, the Court will hear argument

because it is unclear as to how Defendant’s arguments are proper grounds to

make a motion for judgment on the pleadings.

If moving party is a defendant, a motion for judgment on the pleadings may be made if either of the following conditions exist: (1) The court has no jurisdiction of the subject of the cause of action alleged in the complaint, or (2) The complaint does not state facts sufficient to constitute a cause of action against the defendant. (CCP, § 438(c)(1)(B).)

Nowhere in Defendant's motion does Defendant argue that the Court does not have jurisdiction over this action, and nowhere in Defendant's motion does Defendant argue that the FAC does not state facts sufficient to constitute a cause of action.

Defendant moves on the basis that the FAC is a sham pleading and on the basis that the alleged payment arrangement is void and unenforceable under California Rule of Professional Conduct 1.5.1.

Defendant does not cite to any legal authority that a sham pleading is grounds for a motion for judgment on the pleadings, and Defendant does not cite to any legal authority that an alleged arrangement that is void under California Rule of Professional Conduct 1.5.1 is grounds for a motion for judgment on the pleadings.

The Court to hear argument.

Sham Pleading Doctrine

Defendant argues that its MJOP should be granted because Plaintiff's FAC is a sham pleading.

Aside from Defendant failing to cite to authority that states that the sham pleading doctrine is proper grounds to move for judgment on the pleadings, Defendant's argument as to why the FAC is a sham pleading is not entirely clear.

As explained in JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678:

Generally, if a verified complaint contains allegations

fatal to a cause of action, a plaintiff cannot cure the defect by simply omitting those allegations in an amended pleading without explanation. (Hendy v. Losse (1991) 54 Cal.3d 723, 742, 1 Cal.Rptr.2d 543, 819 P.2d 1 (Hendy).) This principle is known as the sham pleading doctrine. But amendment in this manner is allowed where a plaintiff clearly shows that the earlier pleading is the result of mistake or inadvertence. (Id. at p. 743, 1 Cal.Rptr.2d 543, 819 P.2d 1; Meyer v. State Bd. of Equalization (1954) 42 Cal.2d 376, 386, 267 P.2d 257; American Advertising & Sales Co. v. Mid-Western Transport (1984) 152 Cal.App.3d 875, 879, 199 Cal.Rptr. 735.) A plaintiff may show mistake or inadvertence, or demonstrate a factual basis for the revised allegation, for the first time on appeal. (See Hendy, at p. 743, 1 Cal.Rptr.2d 543, 819 P.2d 1.)

(JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 690.)

Defendant appears to be arguing that since the first cause of action [breach of contract] in Plaintiff's original complaint alleged that Defendants breached the Attorney-Client Fee Agreement by failing and refusing to pay Plaintiff the agreed-upon "referral fee," Plaintiff's renaming of the "referral fee" in the original complaint to a "client-directed payment" in the FAC is a sham because the allegation of a "referral fee" in the original complaint was omitted/renamed to avoid Rule 1.5.1 of the California Rules of Professional Conduct and Chambers v. Kay (2002) 29 Cal.4th 142 (Chambers).

"Generally, if a verified complaint contains allegations fatal to a cause of action, a plaintiff cannot cure the defect by simply omitting those allegations in an amended pleading without explanation." (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 690 citing (Hendy v. Losse (1991) 54 Cal.3d 723, 742.)

Here, Plaintiff's original complaint and FAC are not verified. Further here, Defendant does not cite to authority that states that violating/not pleading Rule 1.5.1 of the California Rules of Professional Conduct makes a breach-of-contract claim defective.

Further, Defendant's citation to Chambers is not directly on point because Chambers does not explain what must

be alleged for pleading purposes, and Chambers was at a different procedural posture than the instant case.

In Chambers, there was a dispute between two attorneys over contingent fees generated from the successful prosecution of a client's lawsuit against third parties. (Chambers v. Kay (2002) 29 Cal.4th 142, 145.) In Chambers, the Supreme Court of California held that the plaintiff attorney could not prevail on a breach of contract action premised on a fee-sharing agreement between plaintiff attorney and defendant attorney because the plaintiff attorney failed to get the client's (non-party) written consent, in violation of Rule 2-200. (See Chambers v. Kay (2002) 29 Cal.4th 142, 162.)

However, at the trial court level, before Chambers reached the Supreme Court of California, the trial court granted summary judgment for defendant attorney.

Here, the instant action is only at the pleading stage and has not dealt with testing the sufficiency of evidence like the Court does in a motion for summary judgment.

Revisiting Rule 1.5.1 and Chambers

Rule 1.5.1 of the California Rules of Professional Conduct is titled "Fee Divisions Among Lawyers" and under 1.5.1:

(a)

Lawyers who are not in the same law firm * shall not divide a fee for legal services unless:

(1)

the lawyers enter into a written* agreement to divide the fee;

(2)

the client has consented in writing,* either at the time the lawyers enter into the agreement to divide the fee or as soon thereafter as reasonably* practicable, after a full written* disclosure to the client of:

(i)

the fact that a division of fees will be made;

(ii)

the identity of the lawyers or law firms* that are parties to the division; and

(iii)

the terms of the division; and

(3)

the total fee charged by all lawyers is not increased solely by reason of the agreement to divide fees.

(b)

This rule does not apply to a division of fees pursuant to court order.

Comment

The

writing* requirements of paragraphs (a)(1) and (a)(2) may be satisfied by one or more writings.*

(California Rules of Professional
Conduct, Rule 1.5.1 & Comment.)

“In Chambers, our

Supreme Court held that rule 2–200 precluded the plaintiff attorney from recovering fees under a fee-sharing contract to which the client had not consented in writing.” (Barnes, Crosby, Fitzgerald & Zeman, LLP v. Ringler (2012) 212 Cal.App.4th 172, 182 citing Chambers v. Kay (2002) 29 Cal.4th 142, 145.)

Both parties appear to cite to Chambers

because both parties appear to assume that rule 2-200 was the predecessor to Rule 1.5.1.

The Court notes that there are some

minor differences between the language of Rule 2-200 and Rule 1.5.1.

Further, the Court highlights the

following excerpt from Chambers that discusses rule 2-200:

[T]he

rule does not limit its application to “pure referral fees” (hereafter referral fees), in which one lawyer receives “ ‘a percentage of a contingent fee for doing nothing more than obtaining the signature of a client upon a retainer agreement while the lawyer to whom the case is referred performs the work.’ ” (Moran v. Harris (1982) 131 Cal.App.3d 913, 921 [182 Cal.Rptr. 519, 28 A.L.R.4th 655].) Nor does it purport to categorically exempt fee divisions among attorneys who work jointly on behalf of a client. Rather, rule 2-200’s language, reasonably read, appears to encompass any division of fees where the attorneys working for the client are not partners or associates of each other, or are not shareholders in the same law firm.

(Chambers v. Kay (2002) 29 Cal.4th 142, 148.)

Plaintiff’s opposition concedes that Chambers held that noncompliance with the fee-splitting rule may render an agreement unenforceable.

However, Plaintiff’s opposition argues that Chambers was not a pleading case and that the dispute here is whether or not the allegations in the FAC are the type of pleading that Chambers addressed.

Or to phrase it differently, Plaintiff argues that whether or not the breach of contract cause of action in the FAC/original complaint is a referral-fee agreement cannot be determined at the pleading stage because that is a factual/evidentiary dispute.

Plaintiff argues that a demurrer does not permit factual findings concerning the underlying agreement.

Plaintiff argues that its FAC does not allege that the breach of contract claim is an attorney-to-attorney fee sharing agreement, and that Defendant’s logic is circular because “Naderi says the agreement must be a fee split because Rule 1.5.1 requires a written attorney agreement; then Naderi points to the absence of a written attorney agreement as proof the supposed fee split is unenforceable. The missing step remains whether Plaintiff and Defendants actually agreed to divide legal fees. That cannot be supplied by assumption, it can only be determined by a jury.” (Pl. Oppo., p.

14.)

Here, the Court does not follow
Plaintiff's opposition.

In the Court's view, Plaintiff's breach
of contract claim is seeking to recover for attorney-to-attorney fee splitting
because Plaintiff's FAC alleges that it is seeking to recover for
attorney-to-attorney fee splitting.

Revisiting Rule 1.5.1 and Chambers
– Continued

As a preliminary matter, Plaintiff's
opposition argues that Rule 1.5.1 is a defense to enforceability based on
noncompliance with the fee-splitting rule.

However, Plaintiff's opposition also
concedes that a motion for judgment on the pleadings may reach an affirmative
defense only when the defense is conclusively established from the face of the
complaint and judicially noticeable matters. (Pl. Oppo., p. 7 citing *Tukes*
v. Richard (2022) 81 Cal.App.5th 1, 19-21.)

Assuming the Court can consider
violation of Rule 1.5.1 at the pleading stage, the Court fails to see how the
allegations do not conclusively establish Rule 1.5.1 as a defense to
Plaintiff's first cause of action for breach of contract.

As a preliminary matter, Defendant
points out how the original complaint alleged that Plaintiff would receive a "referral
fee" on at least fourteen occasions, and that Plaintiff's FAC omits those
allegations and renames the referral fee as a "client-directed payment."

Plaintiff argues that the sham pleading
doctrine does not prevent Plaintiff's FAC from referring to the agreement as a
"client-directed payment" because a pleader can reformulate the legal
significance of the same transaction where the earlier allegation represented a
characterization rather than the occurrence of a foundational event. Further, Plaintiff argues that whether the
contract is a "referral fee" or a "client-directed payment" is a factual
determination for the jury.

Here, as a preliminary matter, whether or not the sham pleading doctrine prevents Plaintiff from changing/omitting language in the FAC seems to be of no significance to this Court because the Court fails to see how the FAC does not violate Rule 1.5.1 even with the omitted allegations.

For comparison, Plaintiff's original complaint alleges in relevant part:

13.

NIZAR did reach out to FADI and, over the course of their conversations, NIZAR and FADI reached an agreement not only on NIZAR's legal representation, but also agreed on LEECH TISHMAN providing a referral fee to Plaintiff KATBI.

14.

On or about July 5, 2021, LEECH TISHMAN and NIZAR entered into a written Attorney-Client Fee Agreement, specifically contemplating the payment of a referral fee to Plaintiff KATBI.

15.

On or about October 14, 2020, LEECH TISHMAN filed a Substitution of Attorney which was granted by the Court on October 26, 2020.

16.

Sometime thereafter, FADI placed a telephone call to Plaintiff KATBI to confirm she would be receiving a referral fee which was subsequently confirmed by FADI in subsequent conversations and in writing with Plaintiff KATBI and/or NIZAR including NIZAR's Attorney-Client Fee Agreement with Defendant LEECH TISHMAN. Defendant NADERI was also a signatory on the Attorney-Client Fee Agreement where it was also identified as legal counsel for NIZAR.

...

25.

On or about July 5, 2021, Defendants LEECH TISMAN and NADERI entered into an Attorney-Client Fee Agreement with non-party NIZAR, for legal representation in the FTR CASE.

26.

The Attorney-Client Fee Agreement and related communications constituted a valid and enforceable contract entered into between Defendants and non-party NIZAR.

27.

Plaintiff KATBI is an intended third-party beneficiary of the Attorney-Client Fee Agreement between Defendants and non-party NIZAR because:

(a)

A motivating purpose of Defendants and non-party NIZAR in entering into the Attorney-Client Fee Agreement was to provide a specific, direct, and express benefit to Plaintiff KATBI in the form of a referral fee in consideration for Plaintiff KATBI's role in referring non-party NIZAR to Defendants for legal services in the FTR CASE.

(b)

The motivating purpose to benefit Plaintiff KATBI is clearly manifested through both oral and written confirmations, including communications with Plaintiff KATBI, communications with non-party NIZAR, and inclusion of referral fee terms within the Attorney-Client Fee Agreement.

(c)

The benefit to Plaintiff KATBI is definite and measurable, specifically a referral fee in the amount of Three Hundred Thousand Dollars (\$300,000.00 USD), as identified and agreed to by the Parties.

(Compl., ¶¶ 13-16 & 25-27.)

Whereas Plaintiff's FAC alleges in relevant part:

9.

Although Plaintiff KATBI is a practicing attorney, she is not a fee-sharing attorney by way of any agreements between Defendants and herself.

...

14.

NIZAR did reach out to FADI and, over the course of their conversations, NIZAR and FADI reached an agreement not only on NIZAR's legal representation, but

also agreed on LEECH TISHMAN providing a client-directed payment to Plaintiff KATBI, from settlement funds, which NIZAR referred to in communications, colloquially, (and legally improperly identified) as a “referral fee”.

15.

On or about July 5, 2021, LEECH TISHMAN and NIZAR entered into a written Attorney-Client Fee Agreement, although the Attorney-Client Fee Agreement contained conditional language allowing LEECH TISHMAN to enter into a fee-sharing agreement for a referral fee, Plaintiff KATBI is not part of any such agreement. Defendant NADERI was also a signatory on the Attorney-Client Fee Agreement where it was also identified as legal counsel for NIZAR

16.

On or about October 14, 2020, LEECH TISHMAN filed a Substitution of Attorney which was granted by the Court on October 26, 2020.

17.

Sometime thereafter, FADI placed a telephone call to Plaintiff KATBI confirming she would be receiving a client-directed payment as part of any settlement, referred to by NIZAR as a “referral fee,” which was subsequently referenced, in the same imprecise manner, in multiple conversations and writings between the parties.

...

37.

On or about July 5, 2021, Defendants LEECH TISHMAN and NADERI entered into an Attorney-Client Fee Agreement with non-party NIZAR, for legal representation in the FTR CASE.

38.

Pursuant to the terms of the Attorney-Client Fee Agreement, Defendants, representing non-party NIZAR, negotiated terms of settlement of that action. However, in order to secure non-party NIZAR's approval of those terms, non-party NIZAR and Defendants entered into a valid and enforceable contract as to the settlement of the FTR Case.

39.

Plaintiff KATBI is an intended third-party beneficiary of the agreement between Defendants and non-party NIZAR because:

(a)

A motivating purpose of Defendants and non-party NIZAR in entering into the agreement was to provide a specific, direct, and express benefit to Plaintiff KATBI in the form of a client-directed payment in consideration for Plaintiff KATBI's role in bringing non-party NIZAR to Defendants for legal services in the FTR CASE.

(b)

The motivating purpose to benefit Plaintiff KATBI is clearly manifested through both oral and written confirmations, including communications with Plaintiff KATBI and communications with non-party NIZAR.

(c)

The benefit to Plaintiff KATBI is definite and measurable, specifically a client-directed payment, to be paid not from non-party NIZAR's settlement proceeds, but from the Attorneys' Fees Fund, in the Three Hundred Thousand Dollars (\$300,000.00 USD), as identified and agreed to by the Parties.

(FAC, ¶¶ 9, 14-17, & 37-39.)

Although Plaintiff argues that whether or not the contract is a fee-splitting agreement or a client-directed payment is a question for the trier of fact, the Court fails to see how the FAC does not allege every element that triggers Rule 1.5.1.

Rule 1.5.1 of the California Rules of Professional Conduct is titled "Fee Divisions Among Lawyers" and under 1.5.1:

(a)

Lawyers who are not in the same law firm * shall not divide a fee for legal services unless:

(1)

the lawyers enter into a written* agreement to divide the fee;

(2)

the client has consented in writing,* either at the time the lawyers enter into the agreement to divide the fee or as soon thereafter as reasonably* practicable, after a full written* disclosure to the client of:

(i)

the fact that a division of fees will be made;

(ii)

the identity of the lawyers or law firms* that are parties to the division; and

(iii)

the terms of the division; and

(3)

the total fee charged by all lawyers is not increased solely by reason of the agreement to divide fees.

(b)

This rule does not apply to a division of fees pursuant to court order.

Comment

The

writing* requirements of paragraphs (a)(1) and (a)(2) may be satisfied by one or more writings.*

(California Rules of Professional
Conduct, Rule 1.5.1 & Comment.)

As a preliminary matter, the first part
of 1.5.1(a) ["Lawyers who are not in the same law firm * shall not divide a fee
for legal services unless:"] does not appear to mention that it matters what
the Plaintiff wants to title the agreement.

The first part of 1.5.1(a) appears to
be implicated when lawyers are not in the same law firm, and they cannot divide
a fee for legal services unless (a), (b), and (c) are met. I.e., it doesn't
seem that 1.5.1(a) considers whether or not Plaintiff wants to call the
agreement a fee-splitting agreement or a "client-directed payment." Rule
1.5.1(a) simply appears to be implicated when lawyers are not in the same law
firm, and they cannot divide a fee for legal services unless (a), (b), and (c)
are met.

Although Plaintiff's FAC alleges that

"Plaintiff KATBI is a practicing attorney, she is not a fee-sharing attorney by way of any agreements between Defendants and herself" [FAC, ¶ 9], the Court fails to see how that allegation even matters.

Plaintiff's FAC alleges that that Plaintiff

is a practicing attorney/lawyer (FAC, ¶ 8-9), Plaintiff alleges that she is non-party Nizar's daughter (FAC, ¶ 8), and Plaintiff alleges that Defendants [Leech Tishman and Naderi] represented non-party Nizar in the FTR case (FAC, ¶¶ 10-11).

Therefore, Plaintiff's FAC alleges that

the lawyers – Plaintiff and Defendants (Leech Tishman and Naderi) – are lawyers not in the same firm.

Further, Plaintiff's FAC is seeking to divide a fee for legal services.

Although Plaintiff argues it is for the

trier of fact to determine if this is a fee-referral agreement, the Court fails to see how the FAC does not explicitly allege that Plaintiff is seeking to divide fees for legal services.

In relevant part:

14.

NIZAR did reach out to FADI and, over the course of their conversations, NIZAR and FADI reached an agreement not only on NIZAR's legal representation, but also agreed on LEECH TISHMAN providing a client-directed payment to Plaintiff KATBI, from settlement funds, which NIZAR referred to in communications, colloquially, (and legally improperly identified) as a "referral fee".

...

20.

Throughout these conversations, NIZAR referred to this client-directed payment to Plaintiff KATBI as either a "referral fee" and/or a "retainer fee," however, in all instances he was referring to the monies to be paid from the Attorneys' Fee Fund, as part of his agreement with Defendants which secured his approval the FTR Settlement Agreement terms.

...

39.

Plaintiff KATBI is an intended third-party beneficiary of the agreement between Defendants and non-party NIZAR because:

(a)

A motivating purpose of Defendants and non-party NIZAR in entering into the agreement was to provide a specific, direct, and express benefit to Plaintiff KATBI in the form of a client-directed payment in consideration for Plaintiff KATBI's role in bringing non-party NIZAR to Defendants for legal services in the FTR CASE.

(b)

The motivating purpose to benefit Plaintiff KATBI is clearly manifested through both oral and written confirmations, including communications with Plaintiff KATBI and communications with non-party NIZAR.

(c)

The benefit to Plaintiff KATBI is definite and measurable, specifically a client-directed payment, to be paid not from non-party NIZAR's settlement proceeds, but from the Attorneys' Fees Fund, in the Three Hundred Thousand Dollars (\$300,000.00 USD), as identified and agreed to by the Parties.

...

43.

Plaintiff KATBI's entitlement to enforce the agreement as a third-party beneficiary is further supported by the fact the client-directed payment was to be paid from a specified, identifiable portion of the attorneys' fees collected by Defendants in the FTR CASE, as approved by Court order and escrow distributions.

(FAC, ¶¶ 14, 20, 39, 43.)

No matter what label Plaintiff wants to use – referral fee or client-directed payment – Plaintiff's FAC is still seeking to divide attorney's fees with her father's attorneys [Defendants in this case] from a prior case in which those attorneys [Defendants in this case] were

awarded attorney's fees (FAC, ¶¶ 14, 20, 39, 43.) Plaintiff's FAC explicitly alleges that the "client-directed payment" was in consideration for Plaintiff's "role in bringing non-party Nizar to Defendants for legal services in the FTR CASE." (FAC, ¶ 39(a).)

No matter what label Plaintiff wants to put on it, the Court fails to see in what world Plaintiff [lawyer] is not seeking to divide a fee for legal services from lawyers [Defendants] who are not in the same law firm.

"Besides potential disciplinary action, case law has created another penalty for noncompliance with rule 2–200 (and a strong motivator for attorneys to adhere to the rule's mandates); a noncompliant agreement generally cannot be enforced by an attorney. Chambers, Margolin, and Mark uniformly recognize that an attorney cannot enforce a fee-sharing agreement if that attorney could have obtained written client consent as required by rule 2–200, but failed to do so." (Barnes, Crosby, Fitzgerald & Zeman, LLP v. Ringler (2012) 212 Cal.App.4th 172, 181.)

Therefore, the Court fails to see how Plaintiff's first cause of action for breach of contract does not implicate Rule 1.5.1.

In relevant part of 1.5.1(a)(1), "Lawyers who are not in the same law firm * shall not divide a fee for legal services unless: (a) the lawyers enter into a written* agreement to divide the fee[.]" (California Rules of Professional Conduct, Rule 1.5.1(a)(1).)

Here, by the very nature of Plaintiff's first cause of action being for breach of contract via Plaintiff being a third-party beneficiary, the Court fails to see how Plaintiff's allegations do not defeat 1.5.1(a)(1) which requires that the lawyers enter into a written agreement to divide the fee.

Even though Plaintiff's FAC seeks to divide a fee between lawyers that are not in the same firm for legal services, Plaintiff's FAC does not allege that the lawyers entered into a written agreement to divide the fee.

A third party beneficiary is not a party to a contract.

“In California, as in other jurisdictions, it is well established that under some circumstances a third party may bring an action for breach of contract *827 based upon an alleged breach of a contract entered into by other parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 826-827.)

Here, the Court would like Plaintiff to address how the requirements of Rule 1.5.1(a)(1) and Plaintiff’s entire theory for breach of contract via Plaintiff being a third-party beneficiary are not at odds with each other.

Rule 1.5.1(a)(1) requires that the lawyers enter into a written agreement to divide the fee.

Plaintiff here is not even alleging that the lawyers entered into a written agreement to divide the fee despite the fact that she is alleging that Plaintiff and Defendants are lawyers who are not in the same firm and that Plaintiff is seeking to divide a fee for legal services.

Plaintiff’s opposition argues that although the original complaint alleged that the basis for the breach of contract (via third party beneficiary) was the July 5, 2021 Attorney-Client Fee Agreement between non-party Nizar and Defendants, the FAC now alleges that the basis for the breach of contract (via third party beneficiary) is the “approval of settlement” in the FTR Case. (See Oppo., p. 10.)

The Court to hear argument.

Plaintiff alleges she is not a fee-sharing attorney by way of any agreements between Defendants and herself. (FAC, ¶19.);

Even though Plaintiff’s FAC alleges that Plaintiff and Defendants are lawyers not in the same firm, and even though Plaintiff seeks to divide fees for legal services, Plaintiff does not appear to be alleging that the lawyers entered into a written agreement to divide the

fee. This appears to violate 1.5.1(a)(1) which requires the lawyers enter into a written agreement to divide the fee. How is Plaintiff's entire theory for breach of contract, by means of being a third party beneficiary to some other contract, not directly at odds with Rule 1.5.1(a)(1)?

Not Brought Up by Either Party

Here, although neither party brings up the issue, when examining the allegations in the FAC, the Court fails to see how Plaintiff alleges the first element of a breach of contract claim.

To state a cause of action for breach of contract, Plaintiff must allege "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

It is entirely uncertain what contract Plaintiff's FAC is basing its breach of contract claim on.

In relevant part:

36.

Plaintiff KATBI realleges each and every allegation set forth in Paragraphs 1 through 35, inclusive, and incorporates them by reference herein.

37.

On or about July 5, 2021, Defendants LEECH TISMAN and NADERI entered into an Attorney-Client Fee Agreement with non-party NIZAR, for legal representation in the FTR CASE.

38.

Pursuant to the terms of the Attorney-Client Fee Agreement, Defendants, representing non-party NIZAR, negotiated terms of settlement of that action. However, in order to secure non-party NIZAR's approval of those terms, non-party NIZAR and Defendants entered into a valid and enforceable contract as to the settlement of the FTR Case.

39.

Plaintiff KATBI is an intended third-party beneficiary of the agreement between

Defendants and non-party NIZAR because:

(FAC, ¶¶ 36-39.)

As indicated above, ¶ 37 refers to an “Attorney-Client Fee Agreement,” but ¶ 38 refers to an “enforceable contract as to the settlement of the FTR Case[;]” however, ¶ 39 refers to “the agreement.”

Is ¶ 39 referring to the agreement in ¶ 37 or is ¶ 39 referring to the contract in ¶ 38?

Based on the allegations of the FAC, it is entirely uncertain as to what contract the first cause of action is even based on.

Plaintiff's opposition argues that the breach of contract claim is based on the “approval of settlement” and not the Attorney-Client Fee Agreement; however, based on the pleadings, it's uncertain as to what contract forms the basis for the breach of contract claim.

Further, what is the difference between the settlement agreement in the FTR case, and as Plaintiff's opposition frames it, the “approval of settlement”?

Is Plaintiff alleging that the breach of contract claim is based on the settlement agreement in the FTR case or some other alleged agreement/approval?

Further, the Court notes that under CCP § 430.10(g), a complaint is subject to demurrer if “In an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.” (CCP, § 430.10(g).)

Here, in the first cause of action in the FAC, it is entirely unclear what the contract is for the first cause of action.

Further, it is entirely unclear if this contract is written, oral, or implied by conduct.

TENTATIVE RULING FIRST CAUSE OF ACTION

The Court to hear argument for the reasons explained above. At the very least, the Court can GRANT the MJOP with respect to the first cause of action on the grounds of failure to state facts sufficient to constitute a cause of action because it is entirely unclear what contract is forming the basis of the first cause of action. The Court is inclined to GRANT leave to amend.

TENTATIVE RULING SECOND CAUSE OF ACTION

Plaintiff's second cause of action in the FAC is for promissory estoppel.

Defendant's MJOP does not make any arguments about a claim for promissory estoppel.

Defendant's MJOP addresses quantum meruit.

It is unclear why Defendant argues about quantum meruit when the second cause of action is for promissory estoppel.

Since Defendant's argument with respect to the second cause of action is incomprehensible, the Court DENIES Defendant's MJOP targeted at the second cause of action.

TENTATIVE RULING THIRD & FOURTH CAUSES OF ACTION

Plaintiff's third cause of action in the FAC is for conversion, and Plaintiff's fourth cause of action is for Money Had and Received.

Defendant's arguments on conversion and money had and received are incomprehensible.

Defendant's MJOP targeted at the third and fourth causes of action is DENIED.

“In the case of either a demurrer or a motion for judgment on the pleadings, leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action.” (Virginia G. v. ABC Unified School Dist. (1993) 15 Cal.App.4th 1848, 1852.)

Untimely Opposition

Defendant's reply argues that the opposition is untimely. The Court notes that it considered all papers.

Request for Judicial Notice

Defendant's requests for judicial notice are granted; the truth of the matters therein are not admitted as true.